Contacts:

Michael Lin / David Wong
UMC, Investor Relations
+ 886-2-2658-9168, ext. 16900
jinhong_lin@umc.com
david_wong@umc.com

UMC Reports Fourth Quarter 2023 Results

Company posts full-year 2023 EPS of NT$4.93; 22/28nm contribution in Q4 reaches 36%
12nm collaboration will propel long-term growth beyond 22/28nm

Fourth Quarter 2023 Overview[1]:

- **Revenue: NT$54.96 billion (US$1.79 billion)**
- **Gross margin: 32.4%; Operating margin: 22.6%**
- **Revenue from 22/28nm: 36%**
- **Capacity utilization rate: 66%**
- **Net income attributable to shareholders of the parent: NT$13.20 billion (US$430 million)**
- **Earnings per share: NT$1.06; earnings per ADS: US$0.173**

Taipei, Taiwan, ROC – January 31, 2024 – United Microelectronics Corporation (NYSE: UMC; TWSE: 2303) ("UMC" or "The Company"), a leading global semiconductor foundry, today announced its consolidated operating results for the fourth quarter of 2023.

Fourth quarter consolidated revenue was NT$54.96 billion, decreasing 3.7% QoQ from NT$57.07 billion in 3Q23. Compared to a year ago, 4Q23 revenue declined 19.0% YoY from NT$67.84 billion in 4Q22. Consolidated gross margin for 4Q23 was 32.4%. Net income attributable to the shareholders of the parent was NT$13.20 billion, with earnings per ordinary share of NT$1.06.

Jason Wang, co-president of UMC, said, "In the fourth quarter, challenging macroeconomic conditions continued to prolong the inventory correction in the semiconductor industry as our wafer shipments decreased 2.5% QoQ while overall fab utilization rate slightly fell to 66%. As our Tainan 12A P6 facility continues to ramp, our 22/28nm represented 36% of our Q4 wafer revenue, reflecting record high in revenue as well as percentage of wafer sales."

[1]Unless otherwise stated, all financial figures discussed in this announcement are prepared in accordance with TIFRSs recognized by Financial Supervisory Commission in the ROC, which is different from IFRSs issued by the International Accounting Standards Board. They represent comparisons among the three-month period ending December 31, 2023, the three-month period ending September 30, 2023, and the equivalent three-month period that ended December 31, 2022. For all 4Q23 results, New Taiwan Dollar (NT$) amounts have been converted into U.S. Dollars at the December 31, 2023 exchange rate of NT$ 30.71 per U.S. Dollar.

“Overall, 2023 was a year where UMC demonstrated its resilience in face of challenging external environment, as optimization in product mix continued to lift 2023 blended ASP by mid-single digit YoY. In addition, we were successful in safeguarding the company's structural profitability with a gross margin of 34.9% in 2023 even as utilization rate significantly declined YoY. Our financial performance also showed strong resilience, which can be attributed to diversified customer base and higher contribution from stronger business stickiness of our specialty technologies offering.”

Co-president Wang commented, “Looking into the first quarter of 2024, we anticipate overall wafer demand will increase mildly, however, customers maintain a cautious approach in their inventory management. Moving forward, UMC will continue to navigate headwinds amid an increasingly competitive landscape and swelling geopolitical tensions via diversified manufacturing base and differentiation in 12-inch specialty technologies. Our 12nm FinFET collaboration is a step forward in advancing our strategy of pursuing cost-efficient capacity expansion and technology node advancement in continuing our commitment to customers. This effort will enable our customers to smoothly migrate to this critical new node, and also benefit from the resiliency of an added Western footprint. We anticipate 12nm FinFET collaboration will broaden our addressable market and significantly accelerate our development roadmap.”

Co-president Wang added, “Over the years, UMC has invested in a number of circular economy initiatives. In 2023, we broke ground for the UMC Circular Economy & Recycling Innovation Center, which will serve to consolidate our efforts to maximize resource recovery and minimize waste. Once operational in 2025, the facility is expected to reduce waste from UMC’s Taiwan fabs by one-third. In addition, UMC continues to be recognized for its unwavering contributions to ESG by global institutions, receiving awards in consecutive years from DJSI, FTSE4Good and ISS. UMC also achieved a remarkable AA rating in the MSCI ESG Ratings. And for the first time, UMC was named as one of the "Best Companies to Work for in Asia" by HR Asia, an authoritative publication for HR professionals. UMC is committed to tackle growing sustainability issues with innovative and long-term solutions that can only be achieved through the hard work and collaboration of its stakeholders and employees.

Summary of Operating Results

Operating Results					
(Amount: NT$ million)	4Q23	3Q23	QoQ % change	4Q22	YoY % change
Operating Revenues	54,958	57,069	(3.7)	67,836	(19.0)
Gross Profit	17,806	20,461	(13.0)	29,124	(38.9)
Operating Expenses	(6,635)	(5,722)	16.0	(6,798)	(2.4)
Net Other Operating Income and Expenses	1,252	573	118.7	1,311	(4.5)
Operating Income	12,423	15,312	(18.9)	23,637	(47.4)
Net Non-Operating Income and Expenses	2,227	3,336	(33.3)	889	150.4
Net Income Attributable to Shareholders of the Parent	13,195	15,971	(17.4)	19,068	(30.8)
EPS (NT$ per share)	1.06	1.29		1.54	
(US$ per ADS)	0.173	0.210		0.251	

Fourth quarter operating revenues declined 3.7% sequentially to NT$54.96 billion. Revenue contribution from 40nm and below technologies represented 50% of wafer revenue, propelled by the revenue growth from 22/28nm in 4Q23. Gross profit decreased 13.0% QoQ to NT$17.81 billion, or 32.4% of revenue. Operating expenses increased 16.0% to NT$6.64 billion. Net other operating income increased to NT$1.25 billion. Net non-operating income totaled NT$2.23 billion. Net income attributable to shareholders of the parent amounted to NT$13.20 billion.

Earnings per ordinary share for the quarter was NT$1.06. Earnings per ADS was US$0.173. The basic weighted average number of shares outstanding in 4Q23 was 12,414,087,724, compared with 12,371,129,866 shares in 3Q23 and 12,348,880,384 shares in 4Q22. The diluted weighted average number of shares outstanding was 12,589,138,701 in 4Q23, compared with 12,566,773,628 shares in 3Q23 and 12,684,106,050 shares in 4Q22. The fully diluted shares counted on December 31, 2023 were approximately 12,589,139,000.

Detailed Financials Section

Operating revenues decreased to NT$54.96 billion. COGS grew 1.5% to NT$37.15 billion, which included 6.1% sequential increase in depreciation. Gross profit fell 13.0% QoQ to NT$17.81 billion. Operating expenses increased to NT$6.64 billion, as R&D grew 21.2% sequentially to NT$3.95 billion or 7.2% of revenue, while Sales & Marketing increased 12.0% to NT$0.82 billion and G&A was up 11.6% QoQ to NT$1.93 billion. Net other operating income was NT$1.25 billion. In 4Q23, operating income declined 18.9% QoQ to NT$12.42 billion.

COGS & Expenses

(Amount: NT$ million)	4Q23	3Q23	QoQ % change	4Q22	YoY % change
Operating Revenues	54,958	57,069	(3.7)	67,836	(19.0)
COGS	(37,152)	(36,608)	1.5	(38,712)	(4.0)
Depreciation	(9,006)	(8,485)	6.1	(8,898)	1.2
Other Mfg. Costs	(28,146)	(28,123)	0.1	(29,814)	(5.6)
Gross Profit	17,806	20,461	(13.0)	29,124	(38.9)
Gross Margin (%)	32.4%	35.9%		42.9%	
Operating Expenses	(6,635)	(5,722)	16.0	(6,798)	(2.4)
Sales & Marketing	(823)	(735)	12.0	(953)	(13.6)
G&A	(1,930)	(1,731)	11.6	(2,438)	(20.8)
R&D	(3,945)	(3,255)	21.2	(3,407)	15.8
Expected Credit Impairment gain (loss)	63	(1)	-	(0)	-
Net Other Operating Income & Expenses	1,252	573	118.7	1,311	(4.5)
Operating Income	12,423	15,312	(18.9)	23,637	(47.4)

Net non-operating income in 4Q23 was NT$2.23 billion, primarily reflecting the NT$1.75 billion in net investment gain and the NT$0.88 billion in net interest income partially offset by the NT$0.41 billion in exchange loss.

Non-Operating Income and Expenses

(Amount: NT$ million)	4Q23	3Q23	4Q22
Non-Operating Income and Expenses	2,227	3,336	889
Net Interest Income and Expenses	880	617	584
Net Investment Gain and Loss	1,750	1,885	1,382
Exchange Gain and Loss	(405)	324	(1,057)
Other Gain and Loss	2	510	(20)

In 4Q23, cash inflow from operating activities was NT$26.22 billion. Cash outflow from investing activities totaled NT$26.81 billion, which included NT$20.81 billion in capital expenditure, resulting in free cash flow of NT$5.41 billion. Cash outflow from financing was NT$3.89 billion, primarily from NT$4.44 billion in bank loans. Net cash outflow in 4Q23 amounted to NT$8.09 billion. Over the next 12 months, the company expects to repay NT$2.23 billion in bank loans.

`

Cash Flow Summary

(Amount: NT$ million)	For the 3-Month Period Ended Dec. 31, 2023	For the 3-Month Period Ended Sep. 30, 2023
Cash Flow from Operating Activities	26,217	19,059
Net income before tax	14,650	18,648
Depreciation & Amortization	10,721	9,928
Share of profit of associates and joint ventures	(1,918)	(1,022)
Income tax paid	(15)	(1,216)
Changes in working capital & others	2,779	(7,279)
Cash Flow from Investing Activities	(26,813)	(17,720)
Increase in financial assets measured at amortized cost	(6,134)	(141)
Acquisition of PP&E	(20,334)	(17,245)
Acquisition of intangible assets	(774)	(560)
Others	429	226
Cash Flow from Financing Activities	(3,892)	(27,602)
Bank loans	(4,435)	21,369
Bonds issued	-	10,000
Increase in deposits-in	720	7,425
Decrease in other financial liabilities	-	(21,209)
Cash dividends	-	(45,018)
Others	(177)	(169)
Effect of Exchange Rate	(3,600)	3,808
Net Cash Flow	(8,088)	(22,455)
Beginning balance	140,642	163,097
Ending balance	132,554	140,642

Cash and cash equivalents decreased to NT$132.55 billion. Days of inventory remained unchanged at 89 days.

Current Assets			
(Amount: NT$ billion)	4Q23	3Q23	4Q22
Cash and Cash Equivalents	132.55	140.64	173.82
Notes & Accounts Receivable	29.59	31.11	36.98
Days Sales Outstanding	50	49	55
Inventories, net	35.71	36.56	31.07
Days of Inventory	89	89	72
Total Current Assets	216.80	219.28	252.37

Current liabilities slightly increased to NT$99.02 billion. Long-term credit/bonds decreased to NT$45.24 billion. Total liabilities increased to NT$199.61 billion, leading to a debt to equity ratio of 56%.

Liabilities			
(Amount: NT$ billion)	4Q23	3Q23	4Q22
Total Current Liabilities	99.02	92.07	108.57
Accounts Payable	7.53	8.37	8.98
Short-Term Credit / Bonds	29.54	30.07	7.59
Payables on Equipment	19.20	15.95	18.63
Other	42.75	37.68	73.37
Long-Term Credit / Bonds	45.24	49.38	39.88
Long-Term Investment Liabilities	-	-	4.22
Total Liabilities	199.61	197.26	197.60
Debt to Equity	56%	56%	59%

Analysis of Revenue[2]

Revenue from Asia-Pacific increased to 62% while business from North America fell to 23% of sales. Business from Europe was 11% while contribution from Japan increased to 4%.

Revenue Breakdown by Region

Region	4Q23	3Q23	2Q23	1Q23	4Q22
North America	23%	27%	27%	31%	30%
Asia Pacific	62%	58%	56%	50%	54%
Europe	11%	12%	12%	11%	9%
Japan	4%	3%	5%	8%	7%

Revenue contribution from 22/28nm grew to 36% of the wafer revenue, while 40nm contribution was 14% of sales.

Revenue Breakdown by Geometry

Geometry	4Q23	3Q23	2Q23	1Q23	4Q22
14nm and below	0%	0%	0%	0%	0%
14nm<x<=28nm	36%	32%	29%	26%	28%
28nm<x<=40nm	14%	13%	12%	15%	17%
40nm<x<=65nm	16%	19%	23%	19%	17%
65nm<x<=90nm	9%	8%	10%	10%	9%
90nm<x<=0.13um	9%	12%	10%	12%	12%
0.13um<x<=0.18um	9%	9%	9%	10%	10%
0.18um<x<=0.35um	5%	5%	5%	6%	5%
0.5um and above	2%	2%	2%	2%	2%

Revenue from fabless customers accounted for 78% of revenue.

Revenue Breakdown by Customer Type

Customer Type	4Q23	3Q23	2Q23	1Q23	4Q22
Fabless	78%	79%	79%	77%	81%
IDM	22%	21%	21%	23%	19%

Revenue from the communication segment accounted for 47%, while business from computer applications remained at 13%. Business from consumer applications was 23% as other segments declined to 17% of revenue.

Revenue Breakdown by Application (1)

Application	4Q23	3Q23	2Q23	1Q23	4Q22
Computer	13%	13%	9%	9%	12%
Communication	47%	46%	44%	44%	45%
Consumer	23%	23%	26%	24%	25%
Others	17%	18%	21%	23%	18%

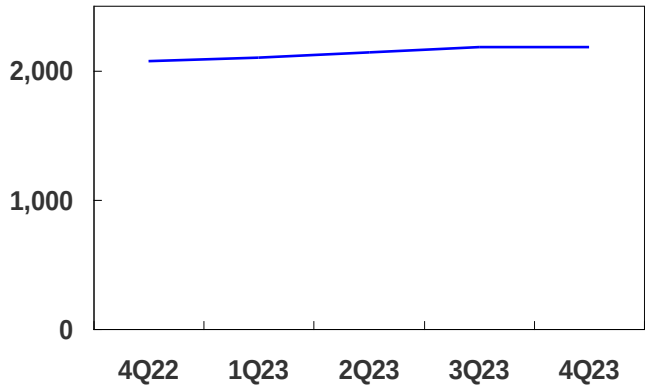
(1) ***Computer*** consists of ICs such as CPU, GPU, HDD controllers, DVD/CD-RW control ICs, PC chipset, audio codec, keyboard controller, monitor scaler, USB, I/O chipset, WLAN. ***Communication*** consists of handset components, broadband, bluetooth, Ethernet, LAN, DSP, etc. ***Consumer*** consists of ICs used for DVD players, DTV, STB, MP3/MP4, flash controller, game consoles, DSC, smart cards, toys, etc.

[2] Revenue in this section represents wafer sales

Blended ASP Trend

Blended average selling price (ASP) remained flat in 4Q23.

Unit: USD



Shipment and Utilization Rate[3]

Wafer shipments decreased 2.5% QoQ to 775K in the fourth quarter, while quarterly capacity was 1,204K. Overall utilization rate in 4Q23 declined to 66%.

Wafer Shipments

	4Q23	3Q23	2Q23	1Q23	4Q22
Wafer Shipments (12" K equivalents)	775	795	814	811	984

Quarterly Capacity Utilization Rate

	4Q23	3Q23	2Q23	1Q23	4Q22
Utilization Rate	66%	67%	71%	70%	90%
Total Capacity (12" K equivalents)	1,204	1,182	1,167	1,121	1,130

[3] Utilization Rate = Quarterly Wafer Out / Quarterly Capacity

Capacity[4]

Total capacity in the fourth quarter increased to 1,204K 12-inch equivalent wafers. Capacity will grow in the first quarter of 2024 to 1,212K 12-inch equivalent wafers, reflecting the continuous capacity expansion at 12A P6 facility.

Annual Capacity in *thousands of wafers*

FAB		Geometry (um)	2023	2022	2021	2020
WTK	6"	5 – 0.15	328	335	329	371
8A	8"	3 – 0.11	811	765	755	802
8C	8"	0.35 – 0.11	473	459	459	452
8D	8"	0.18 – 0.09	440	410	380	371
8E	8"	0.6 – 0.14	490	469	457	449
8F	8"	0.18 – 0.11	570	550	514	485
8S	8"	0.18 – 0.11	447	443	408	373
8N	8"	0.5 – 0.11	996	952	917	917
12A	12"	0.13 – 0.014	1,305	1,170	1,070	1,044
12i	12"	0.13 – 0.040	655	655	641	628
12X	12"	0.080 – 0.022	317	314	284	217
12M	12"	0.13 – 0.040	438	436	395	391
Total[(1)]			4,674	4,458	4,201	4,083
YoY Growth Rate			5%	6%	3%	13%

Quarterly Capacity in *thousands of wafers*

FAB		1Q24E	4Q23	3Q23	2Q23
WTK	6"	82	83	83	82
8A	8"	206	207	207	207
8C	8"	119	119	120	120
8D	8"	118	118	111	109
8E	8"	130	131	122	122
8F	8"	144	145	145	145
8S	8"	113	114	112	112
8N	8"	252	254	250	248
12A	12"	358	346	333	321
12i	12"	164	164	164	164
12X	12"	79	80	80	80
12M	12"	110	110	110	110
Total		**1,212**	**1,204**	**1,182**	**1,167**

(1) One 6-inch wafer is converted into 0.25 ($6^2/12^2$) 12-inch equivalent wafer; one 8-inch wafer is converted into 0.44 ($8^2/12^2$) 12-inch equivalent wafers. Total capacity figures are expressed in 12-inch equivalent wafers.

CAPEX

CAPEX spending in 4Q23 totaled US$657 million as 2023 CAPEX amounted to US$3.0 billion. 2024 cash-based CAPEX budget will be US$3.3 billion.

Capital Expenditure by Year - in US$ billion

Year	2023	2022	2021	2020	2019
CAPEX	$ 3.0	$ 2.7	$ 1.8	$ 1.0	$ 0.6

2024 CAPEX Plan

8"	12"	Total
5%	95%	US$3.3 billion

[4] Estimated capacity numbers are based on *calculated maximum output* rather than *designed capacity*. The actual capacity numbers may differ depending upon equipment delivery schedules, pace of migration to more advanced process technologies, and other factors affecting production ramp-up.

Brief Summary of Full Year 2023 Consolidated Results

- Consolidated revenue in NTD declined 20.2% YoY to NT$222.53 billion, from NT$278.71 billion in 2022.
- Gross profit decreased 38.2%, compared to a year ago, representing 34.9% of 2023 revenue.
- Operating income decreased 44.5% year on year, accounting for 26.0% of 2023 revenue.
- Net income attributable to shareholders of the parent fell 30.1% to NT$60.99 billion in 2023.
- EPS was NT$4.93, or EPADS of US$0.803 for 2023.
- 22/28nm revenue contribution accounted for 31% in 2023.

Operating Results			
(Amount: NT$ million)	2023	2022	YoY % change
Operating Revenues	222,533	278,705	(20.2)
Gross Profit	77,744	125,764	(38.2)
Operating Expenses	(23,855)	(26,812)	(11.0)
Net Other Operating Income and Expenses	4,002	5,340	(25.0)
Operating Income	57,891	104,292	(44.5)
Net Non-Operating Income and Expenses	13,021	1,805	621.4
Income Tax Expense	(9,472)	(18,079)	(47.6)
Net Income Attributable to Shareholders of the Parent	60,990	87,198	(30.1)
EPS (NT$ per share)	4.93	7.09	
(US$ per ADS)	0.803	1.154	

Annual Sales Breakdown in Revenue for Foundry Segment

Region	2023	2022
North America	27%	24%
Asia Pacific	57%	61%
Europe	11%	9%
Japan	5%	6%

Technology	2023	2022
14nm and below	0%	0%
14nm<x<=28nm	31%	24%
28nm<x<=40nm	14%	18%
40nm<x<=65nm	19%	18%
65nm<x<=90nm	10%	8%
90nm<x<=0.13um	10%	12%
0.13um<x<=0.18um	9%	11%
0.18um<x<=0.35um	5%	7%
0.5um and above	2%	2%

Customer Type	2023	2022
Fabless	78%	84%
IDM	22%	16%

Application	2023	2022
Computer	11%	15%
Communication	45%	45%
Consumer	24%	26%
Others	20%	14%

First Quarter 2024 Outlook & Guidance

Quarter-over-Quarter Guidance:

- Wafer Shipments: Will increase by approximately 2-3%
- ASP in USD: Will decrease by 5%
- Gross Profit Margin: Will be approximately 30%
- Capacity Utilization: low-60% range
- 2024 CAPEX: US$3.3 billion

Recent Developments / Announcements

Oct. 31, 2023	UMC Launches W2W 3D IC Project with Partners, Targeting Growth in Edge AI
Dec. 11, 2023	UMC recognized for ESG strength with DJSI World & Emerging Markets Index and MSCI-ESG AA Rating
Jan. 2, 2024	UMC Achieves AAA Certification for Excellence in Intellectual Property Management and Protection
Jan. 25, 2024	Intel and UMC Announce New Foundry Collaboration

Please visit UMC's website for further details regarding the above announcements

Conference Call / Webcast Announcement

Wednesday, January 31, 2024

Time: 5:00 PM (Taipei) / 4:00 AM (New York) / 09:00 AM (London)

Dial-in numbers and Access Codes:

Taiwan Number:	02 3396 1191
Taiwan Toll Free:	0080 185 4007
US Toll Free:	+1 866 212 5567
Other Areas:	+886 2 3396 1191
Access Code:	1029531#

A live webcast and replay of the 4Q23 results announcement will be available at www.umc.com under the “Investors / Events” section.

About UMC

UMC (NYSE: UMC, TWSE: 2303) is a leading global semiconductor foundry company. The company provides high-quality IC fabrication services, focusing on logic and various specialty technologies to serve all major sectors of the electronics industry. UMC’s comprehensive IC processing technologies and manufacturing solutions include Logic/Mixed-Signal, embedded High-Voltage, embedded Non-Volatile-Memory, RFSOI, BCD, etc. Most of UMC's 12-in and 8-in fabs with its core R&D are in Taiwan, with additional ones throughout Asia. UMC has a total of 12 fabs in production with a combined capacity of more than 400,000 wafers per month (12-in equivalent), and all of them are certified with IATF 16949 automotive quality standards. UMC is headquartered in Hsinchu, Taiwan, plus local offices in the United States, Europe, China, Japan, Korea, and Singapore, with a worldwide total of 20,000 employees. For more information, please visit: http://www.umc.com.

Safe Harbor Statements

This press release contains forward-looking statements within the meaning of Section 27A of the United States Securities Act of 1933, as amended, and Section 21E of the United States Securities Exchange Act of 1934, as amended, and as defined in the United States Private Securities Litigation Reform Act of 1995. These forward-looking statements include, but are not limited to, statements regarding anticipated financial results for the fourth quarter of 2023; the expected wafer shipment and ASP; the anticipated annual budget; capex strategies; environmental protection goals and water management strategies; impact of foreign currency exchange rates; expected foundry capacities; the ability to obtain new business opportunities; and information under the heading "First Quarter 2024 Outlook and Guidance."

These forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause the actual performance, financial condition or results of operations of UMC to be materially different from what is stated or may be implied in such forward-looking statements. Investors are cautioned that actual events and results could differ materially from those statements as a result of a number of factors including, but not limited to: (i) dependence upon the frequent introduction of new services and technologies based on the latest developments in the industry in which UMC operates; (ii) the intensely competitive semiconductor, communications, consumer electronics and computer industries and markets; (iii) the risks associated with international business activities; (iv) dependence upon key personnel; (v) general economic and political conditions; (vi) possible disruptions in commercial activities caused by natural and human-induced events and disasters, including natural disasters, terrorist activity, armed conflict and highly contagious diseases; (vii) reduced end-user purchases relative to expectations and orders; and (viii) fluctuations in foreign currency exchange rates. Further information regarding these and other risk factors is included in UMC's filings with the United States Securities and Exchange Commission, including its Annual Report on Form 20-F. All information provided in this release is as of the date of this release and are based on assumptions that UMC believes to be reasonable as of this date, and UMC does not undertake any obligation to update any forward-looking statement as a result of new information, future events or otherwise, except as required under applicable law.

The financial statements included in this release are prepared and published in accordance with Taiwan International Financial Reporting Standards, or TIFRSs, recognized by the Financial Supervisory Commission in the ROC, which is different from International Financial Reporting Standards, or IFRSs, issued by the International Accounting Standards Board. Investors are cautioned that there may be significant differences between TIFRSs and IFRSs. In addition, TIFRSs and IFRSs differ in certain significant respects from generally accepted accounting principles in the ROC and generally accepted accounting principles in the United States.

- FINANCIAL TABLES TO FOLLOW -